The three key takeaways from this chapter:

1. **Intermediaries make equity investing a complicated affair**: For the vast majority of equity investors in India, investment becomes a complicated affair, not only because they are surrounded by substandard advisers, but also because they imbibe (or are fed) incorrect investment theories. The most common one is: *to make higher returns from the stock markets, one must take higher risks*. Such misconceptions in the minds of investors blur the demarcation between ‘punting’ and ‘investing’ as investors respond to ephemeral events which corrode their capital and enhance the wealth of intermediaries. Our learning from legendary investors like Warren Buffett, Akash Prakash, Sanjoy Bhattacharyya and K.N. Sivasubramanian is that to consistently generate healthy returns from equity investing, one has to invest in high-quality companies and then sit tight for long (often very long) without losing sleep about where the share price is going.
2. **The Coffee Can Portfolio of great companies**: In the Indian context, we have built the Coffee Can Portfolio using a simple construct: we look for companies above Rs 100 crore market capitalization, which over the preceding decade have grown sales each year by at least 10 per cent alongside generating Return on Capital Employed (pre-tax) of at least 15 per cent each year. Detailed back-testing of the Coffee Can Portfolio in India, based on data going back to 1991, shows that *such a portfolio beats benchmarks across all time periods*. The portfolio also performs admirably well during stressful periods (like the Lehman crisis in 2008) when the overall stock market nosedived. If invested for over a decade with no churn, this portfolio generates returns that are substantially higher than the benchmark.[19]
3. **Why does the Coffee Can Portfolio perform so well?** The Coffee Can philosophy of investing is built to identify great companies that have the DNA to sustain their competitive advantages over ten to twenty years (or longer). This is because ‘greatness’, which the Coffee Can Portfolio seeks, is not temporary and is surely not a short-term phenomenon. In